timing—seem doomed to failure. Over, say, 20 years, betting at those odds would give you just one chance out of 4,096 to win (even when we ignore the negative impact of the transaction costs entailed in the implementation of each of those decisions).

One chance out of 4,096? Are those good odds to bet on? Suffice it to say that Warren Buffett doesn't think so. In mid-2008 it was reported that he took the opposite side of a not totally-dissimilar wager. He laid on a $320,000 bet with Protégé Partners, a firm that manages funds of hedge funds, that over the 10 years ending in 2017, the returns from Vanguard's flagship 500 Index Fund would top the collective return from the five (inevitably) speculative, freewheeling, market-timing, trade-churning hedge funds selected by Protégé's supposed experts. I'm partial, of course, but that's a bet I might even be glad to place with my own money. (Whoever wins, by the way, the prize money from both sides—$1 million, including interest earned—will go to charity.)

Striking a Balance

Of course, our markets need speculators—financial entrepreneurs, traders, and short-term traders, risk takers restlessly searching to exploit anomalies and imperfections in the market for profitable advantage. Equally certain, our markets need investors—financial conservatives, long-term owners of stocks who hold in high esteem the traditional values of prudence, stability, safety, and soundness. But a balance needs to be struck, and in my judgment, today's powerful and debilitating turbulence is one of the prices we pay for allowing that balance to get out of hand.

Most of the themes in the preceding paragraph appear in the brilliant 2001 memoir, *On Money and Markets,* by economist and investor Henry Kaufman, one of the wisest of all the wise men in Wall Street's long history. Clearly, Dr. Kaufman shares my concerns, as he expresses his own fears about the corporatization of Wall Street, the globalization of finance, the limits on the power of policy